Deadline Monday

Trump's 48-hour Hormuz ultimatum resets the risk calculus as markets close their worst week since the war began.

MARKETS

Friday extended the drawdown across every asset class. S&P –1.70% to 6,486, Dow –1.12%, Nasdaq –1.85%, Russell 2000 –2.18%. The Russell is now in correction territory, down more than 10% from its recent high. UVXY surged 10.45% to $54.10. TLT fell –1.90% to $85.83—bonds sold off alongside equities. Gold dropped another –3.06% (GLD $413). Bitcoin held near $70,700 through Friday's close but broke below $70,000 over the weekend, trading at $68,951 on Sunday. Financials (+0.18%) were the sole sector in the green. The "everything sells except crude oil" pattern intensified.

Brent's 3.3% Friday rally was driven by fresh supply disruptions. Iraq declared force majeure at all oilfields operated by foreign companies. Drones struck two Kuwait refineries. WTI settled at $98.32. The IEA's record 400-million-barrel reserve release continues to fail to contain prices—physical market dynamics are overwhelming paper interventions. CVX +0.14% and OKE +0.93% held green while VLO slipped –0.91%. Jefferies upgraded OKE, citing midstream infrastructure value in a prolonged supply disruption.

Thursday's GTC-fueled semiconductor rally reversed entirely. LRCX –2.41% to $228 after gaining 4.13% the prior session. KEYS –4.37% gave back its Thursday advance. NVDA –3.28%. TSM –2.82%. MARA –8.24% and HUT –5.34% were the worst IOWN performers as crypto miners tracked Bitcoin's approach toward $70,000. SYF +1.04% was the only IOWN name with conviction buying.

The Fed's March 19 **hawkish hold** at 3.50–3.75% is reverberating through rate markets. CME FedWatch now prices a 12% probability of an April rate hike—a scenario unthinkable six weeks ago when markets expected three cuts. The probability of zero cuts in 2026 has risen to 48%. Bank of America reports clients asking about hikes. Powell characterized inflation as "murky." Rate-sensitive sectors bore Friday's brunt: utilities –4.06%, real estate –3.17%, NEE –3.15%, BKH –4.34%. The shift from "when do they cut" to "could they hike" is a fundamental repricing.

Every asset class sold Friday except crude oil. Bonds, gold, equities, crypto—all red. S&P at 6,486; our –20% trigger at ~5,600 remains 14% below. The portfolio's energy and midstream exposure continues to provide ballast while rate-sensitive names absorb the repricing. Avoid Erosion—stay the course.

GEOPOLITICS

Day 23—Trump posted a 48-hour deadline on Truth Social Saturday night: reopen the Strait of Hormuz or the US strikes Iran's power plants. Bloomberg and Al Jazeera both characterize this as the most consequential US ultimatum since the conflict began. The deadline expires Monday at 7:44 PM ET. This is a complete reversal from "winding down" rhetoric just 24 hours earlier. Iran boasts approximately 400 power plants, including the Bushehr nuclear facility. Targeting civilian energy infrastructure would represent a qualitative expansion of the conflict's scope.

Hours before the ultimatum, Iranian missiles struck the southern Israeli towns of Dimona and Arad, wounding over 100 people including children. Dimona is located approximately 13 kilometers from Israel's nuclear research center. Iran framed the strikes as retaliation for the earlier Israeli hit on Natanz. Iran's military command warned that if Iranian energy infrastructure is targeted, all US-linked energy, IT, and desalination infrastructure in the region would face retaliation. The escalation ladder has no visible off-ramp.

Saudi Arabia expelled Iran's military attaché and four embassy staff—a significant break from Riyadh's earlier cautious neutrality. Twenty-two nations condemned Iran's Hormuz blockade. The UAE and Australia joined the safe-navigation coalition. UN Secretary-General Guterres offered to mediate. But with Trump's Monday deadline looming, the military track appears to be outpacing diplomacy. For the portfolio, the 48-hour window creates a binary setup: defense holdings GD and LMT positioned for sustained conflict; energy names VLO, CVX, OKE could see further upside if the supply shock widens.

ON OUR RADAR

1. Trump's Monday deadline is the single most important variable for this week. The 48-hour ultimatum expires at 7:44 PM ET Monday—after the US equity close but before Tuesday's open. If the US strikes Iranian power plants, Tehran has promised retaliation against regional energy and IT infrastructure. If Iran gestures toward Hormuz reopening, the relief trade could be significant. Tuesday's open could gap materially in either direction. GD and LMT on the defense side; VLO, CVX, OKE on the energy side. *Think Like an Owner.*

2. Bitcoin broke $70,000 this weekend—the scenario the March 20 brief flagged. BTC dropped to $68,951 on Sunday after testing $70K multiple times over two weeks. IBIT, ETHA, COIN, HUT,

and MARA all face potential gap-down risk at Monday's open. If BTC remains below $70,000, the technical picture would deteriorate further. The digital asset sleeve is sized for this volatility, but sustained weakness could warrant reassessment.

3. The Fed's hawkish pivot from three expected cuts to a possible hike is a regime change. NEE (–3.15%), BKH (–4.34%), and utilities (–4.06%) bore the repricing brunt. If upcoming CPI and PCE data shows energy pass-through into core inflation, the 12% April hike probability could move meaningfully higher. SYF (+1.04%) suggests financials may benefit from higher-for-longer. *Research Reveals Opportunities.*

4. The semiconductor bounce proved short-lived—but the thesis remains intact. LRCX, KEYS, and NVDA reversed Thursday's gains. The GTC catalyst is real—AI infrastructure spending is not demand-dependent on energy prices—but the risk-off environment is overwhelming sector narratives. ADI (–0.33%) and QCOM (–1.05%) showed relative resilience. Patience is required.

5. Energy sleeve resilience validates the physical-world-matters thesis. OKE (+0.93%), CVX (+0.14%), and DGX (+0.57%) were among only five IOWN names to close green Friday. Jefferies upgraded OKE, citing midstream value in prolonged disruption. If Trump's ultimatum triggers additional strikes on Iranian energy infrastructure, the supply disruption could deepen further. **Simplicity Over Complexity.**

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